Roll No. .....

BBA–505(F)

B. B. A. (FIFTH SEMESTER)

MID SEMESTER EXAMINATION, Oct., 2022

INVESTMENT MANAGEMENT

Time : 1½ Hours

Maximum Marks : 50

Note : (i) Answer all the questions by choosing any ***one*** of the sub-questions.

(ii) Each question carries 10 marks.

1. (a) The Stock of One 97 Communications (Paytm) was issued at ₹ 2,150, got listed at ₹ 1,950 and trading at ₹ 629 as on 29th September, 2022. Loss of 60% since listing. Evaluate the reasons for the downfall of stock. 10 Marks (CO1)

OR

(b) Current market price of ABC Ltd. is ₹ 80, next year's expected dividend ₹ 4 per share, expected price of share after one year, ₹ 90, required rate of return 18%. What should be the value of share and should it be bought at current market price ? 10 Marks (CO1)

2. (a) Having heard some positive reviews of how one can "earn" some extra bucks by lending online at higher rates, Mr. Surendra Mistry, age 31 from Mumbai decided to try his hand at lending money on a P2P platform. That was in November 2018. Tempted, he withdrew ₹ 1 lakh

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from his fixed deposits that had just matured and used the money to lend to borrowers who came with a low-credit rating of between 'D' and 'F'. P2P platforms, typically, profile and then rate borrowers depending on their repayment and borrowing history, bank balance, income levels and so on. A borrower with an 'A' rating is considered to be the best of the lot; amounts lent to such borrowers fetch the lenders around 10 to 12 per cent. A person with an 'F' grade (known to be of the weakest credit profile) gets to borrow at a rate of around 25 per cent. Says Surendra, "With the greed to earn higher returns from lending on P2P platforms, I decided to lend to lower-risk- grade borrowers."

The lending amount ₹ 1 lakh was divided among 20 borrowers. "In the initial two months I received the monthly instalments on a specific date assigned by the platform. However, afterwards, some of the borrowers started postponing instalments and others defaulted for a couple of months," says Surendra. Within a span of one year, he could recover a meagre ₹ 20,000. This amount included principal and interest. He couldn't recover remaining amount.

Evaluate the P2P investment by Mr. Surendra Mistry. 10 Marks (CO1)

OR

(b) Risk free return is 8%, the return on market portfolio is 14%, and Delta Ltd.'s beta is 14%. What should be the required rate of return for Delta's share ? If it recently paid a dividend of ₹ 3.5 for the last accounting year and the expected growth rate is 10%, what should be its value/price ? If its current market price is ₹ 65, should it be bought ?

10 Marks (CO1)

3. (a) Explain the features of ADR and GDR. 10 Marks (CO2)

OR

(b) "Bonds are same as debentures." Comment. 10 Marks (CO2)

4. (a) Explain the difference between public issue and private placement. 10 Marks (CO3)

OR

(b) Explain the process of investment planning. 10 Marks (CO3)

5. (a) Explain the difference between book building and fixed price public issue. 10 Marks (CO3)

OR

(b) "Start ups should go for IPO rather than venture capital." Comment. 10 Marks (CO3)

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